IN THE UNITED STATES BANKRUPTCY COURT
FOR THE SOUTHERN DISTRICT OF ILLINOIS
EFFINGHAM DIVISION

In re:
BOYCE ALLEN BURNS and
AMANDA LANE BURNS,
Debtors.

Case No. 19-60349
Chapter 7

NANCY J. GARGULA,
United States Trustee,
Plaintiff,
v.
DEIGHAN LAW LLC,
f/k/a LAW SOLUTIONS CHICAGO LLC,
d/b/a UPRIGHT LAW LLC,
and
JAMES E. FORD,
Defendants.

Adversary No. 20-06018

MEMORANDUM IN SUPPORT OF MOTION TO WITHDRAW[1]

I. Overview of Arguments

Cause exists for the granting of the Motion for at least three reasons. First, Defendants possess a Seventh Amendment right to a jury trial on the claims asserted by the United States Trustee in her *Complaint* (Doc. 1) (the "Complaint") pursuant to 11 U.S.C. § 526[2] (Counts I, and II). To the extent that a Bankruptcy Court is permitted to conduct a jury trial with unanimous express consent from the parties, Defendants do ***not*** provide such consent. For this reason alone, withdrawal of the reference is required in this case.

Second, withdrawal of the reference is mandatory because adjudication of this case requires consideration of constitutional issues — including but not limited to the Due Process clause of the Fifth Amendment. In an adversary proceeding, defendants have a due process right to a neutral arbiter. Yet, this proceeding is the product of the Bankruptcy Court's *sua sponte* initiation of dozens of investigations of UpRight Law, and its directive to the UST to conduct those investigations. In the course of this investigatory process, the Bankruptcy Court, *inter alia,* (i) usurped the administrative functions performed by the Chapter 7 Trustee in the underlying bankruptcy case, and (ii) prejudged the merits of this case based on inferences it drew without conducting an evidentiary hearing. Given this background, Defendants respectfully submit that the Bankruptcy Court cannot serve as a neutral arbiter. It would be unfair, and inconsistent with the appearance of judicial neutrality, for the Bankruptcy Court to preside over an adversary proceeding that is the product of an investigation the Bankruptcy Court directed the UST to undertake.

Third, cause also exists to withdraw the reference because the factors that support permissive withdrawal are present. Among other considerations, the UST's claims are not "core," to a neutral arbiter. Yet, this proceeding is the product of the Bankruptcy Court's sua sponte

[1] Capitalized terms not defined in this memorandum have the same meanings as ascribed to them in Defendants' *Motion to Withdraw the Reference* (the "Motion"), to which this memorandum is attached.

[2] Hereafter, citations to a section of title 11 (the "Bankruptcy Code") will be "Section __" or "§ __."

initiation of dozens of investigations of UpRight Law, and its directive to the UST to conduct as they have nothing to do with the administration of the bankruptcy estate, which has already those investigations. In the course of this investigatory process, the Bankruptcy Court, inter alia, been fully administered. Because these claims are not core, the Bankruptcy Court cannot enter a (i) usurped the administrative functions performed by the Chapter 7 Trustee in the underlying final judgment, and any recommendation that the Bankruptcy Court might make would need to be bankruptcy case, and (ii) prejudged the merits of this case based on inferences it drew without reviewed *de novo* by this Court. To avoid that duplication of effort, considerations of judicial conducting an evidentiary hearing. Given this background, Defendants respectfully submit that efficiency (among other factors) warrant withdrawal of the reference in this case.

the Bankruptcy Court cannot serve as a neutral arbiter. It would be unfair, and inconsistent with

II. Procedural Posture of this Adversary Proceeding

the appearance of judicial neutrality, for the Bankruptcy Court to preside over an adversary

Distilled to its essence, the instant proceeding is an attempt to transform Defendants' proceeding that is the product of an investigation the Bankruptcy Court directed the UST to successful representation of the debtors, Boyce and Amanda Burns (the "Debtors"), into a broad undertake.

condemnation of UpRight Law that purports to seek, *inter alia*, civil penalties based on a variety

Third, cause also exists to withdraw the reference because the factors that support of purported false statements and misrepresentations that are not alleged to have harmed a permissive withdrawal are present. Among other considerations, the UST's claims are not "core," substantial right of the Debtors or their bankruptcy estate.[3]

as they have nothing to do with the administration of the bankruptcy estate, which has already

The Debtors engaged UpRight Law to represent them in a Chapter 7 bankruptcy for a flat been fully administered. Because these claims are not core, the Bankruptcy Court cannot enter a attorney fee of $1,250.[4] UpRight Law did, in fact, provide such representation to the Debtors.[5] final judgment, and any recommendation that the Bankruptcy Court might make would need to The Firm filed their Chapter 7 Bankruptcy Petition in September 2019.[6] They received a discharge be reviewed de novo by this Court. To avoid that duplication of effort, considerations of judicial in April 2020.[7] The UST makes no allegation that the Debtor expressed any concern (let alone efficiency (among other factors) warrant withdrawal of the reference in this case.

lodged a complaint) to anyone regarding Defendants' representation of them.

II. Procedural Posture of this Adversary Proceeding

Nevertheless, nine months after the Debtors received their discharge and after the Chapter

Distilled to its essence, the instant proceeding is an attempt to transform Defendants'

7 Trustee issued his *Report of No Distribution* (Doc. 40 in 19-60349) on March 30, 2020, the UST successful representation of the debtors, Boyce and Amanda Burns (the "Debtors"), into a broad

filed her four-count Complaint against Defendants on December 31, 2020. Two of the counts condemnation of UpRight Law that purports to seek, inter alia, civil penalties based on a variety

alleged violations of § 526, and purported to seek, *inter alia*, civil penalties against Defendants of purported false statements and misrepresentations that are not alleged to have harmed a

substantial right of the Debtors or their bankruptcy estate.[3]

[3] Rule 61 of the Federal Rules of Civil Procedure, made applicable to this case under Federal Rule of Bankruptcy Procedure 9005, provides that "[a]t every stage of the proceeding, the court *must* disregard all errors and defects that do not affect any party's substantial rights." Fed. R. Civ. P. 61 (emphasis added). Hereafter, references to a Federal Rule of Bankruptcy Procedure will be "Rule __."

[4] *See* Complaint, Doc.1, at ¶104;

[5] *See* Complaint, Doc.1, *passim*.

[6] *See Chapter 7 Voluntary Petition*, Doc. 1 in *In re Burns*, Bankr. Case No. 19-60349-lkg (Bankr. S.D. Ill.) (the "Burns Bankruptcy"). Hereafter, citations to docket entries and filings in the Debtors' Bankruptcy will be "Doc. __ in 19-60349."

[7] *See Order of Discharge*, Doc. 41 in 19-60349.

The Firm filed their Chapter 7 Bankruptcy Petition in September 2019.[6] They received a totaling $55,000.00.[8] The third Count purported to seek disgorgement of the attorney fee paid to discharge in April 2020.[7] The UST makes no allegation that the Debtor expressed any concern UpRight Law pursuant to § 329 and Rule 2017, even though the Chapter 7 Trustee and the UST (let alone lodged a complaint) to anyone regarding Defendants' representation of them. never objected to any fee paid to Upright Law during the Debtors' Bankruptcy.[9]

Nevertheless, nine months after the Debtors received their discharge and after the Chapter Defendants moved to dismiss the Original Complaint on January 29, 2021.[10] On March 7 Trustee issued his Report of No Distribution (Doc. 40 in 19-60349) on March 30, 2020, the 15, 2021, the Bankruptcy Court denied that motion in its entirety without issuing any written UST filed her four-count Complaint against Defendants on December 31, 2020. Two of the opinion.[11]

counts alleged violations of § 526, and purported to seek, inter alia, civil penalties against

On March 29, 2021, Defendants filed their *Answer and Additional Defenses* (Doc. 12) (the Defendants totaling $55,000.00.[8] The third Count purported to seek disgorgement of the attorney "Answer") to the Complaint. Among other aspects of their Answer, Defendants denied the UST's fee paid to UpRight Law pursuant to § 329 and Rule 2017, even though the Chapter 7 Trustee allegation that the UST's action constitutes a core proceeding.[12] They also made a jury demand.[13] and the UST never objected to any fee paid to Upright Law during the Debtors' Bankruptcy.[9] Defendants subsequently filed the instant Motion.

Defendants moved to dismiss the Original Complaint on January 29, 2021.[10] On March

III. The Bankruptcy Court's Investigation in the Debtor's Bankruptcy

15, 2021, the Bankruptcy Court denied that motion in its entirety without issuing any written

During a period of more than two years that preceded the filing of the Complaint, the opinion.[11]

Bankruptcy Court *sua sponte* orchestrated a sweeping investigation of UpRight Law by issuing

On March 29, 2021, Defendants filed their Answer and Additional Defenses (Doc. 12) "notices" of hearings ("Notices") "to consider and act upon the . . . Disclosure of Compensation (the "Answer") to the Complaint. Among other aspects of their Answer, Defendants denied the of Attorney" filed by the debtor's counsel in dozens of Chapter 7 cases filed by UpRight Law on UST's allegation that the UST's action constitutes a core proceeding.[12] They also made a jury behalf of its clients.[14] The Notices did not identify any Bankruptcy Code provision or Bankruptcy demand.[13] Defendants subsequently filed the instant Motion.

Rule that is alleged to have been violated by the Disclosures of Compensation of Attorney for

III. The Bankruptcy Court's Investigation in the Debtor's Bankruptcy

Debtor(s) (the "Disclosures"), nor did they indicate what relief, if any, might be imposed on

During a period of more than two years that preceded the filing of the Complaint, the

UpRight Law or its attorneys based on the Disclosures. Moreover, the Notices did not allege that

Bankruptcy Court sua sponte orchestrated a sweeping investigation of UpRight Law by issuing

the amounts disclosed in the Disclosures were incorrect.

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of Attorney" filed by the debtor's counsel in dozens of Chapter 7 cases filed by UpRight Law on

[6] See Chapter 7 Voluntary Petition, Doc. 1 in In re Burns, Bankr. Case No. 19-60349-lkg (Bankr. S.D. Ill.) (the "Burns Bankruptcy"). Hereafter, citations to docket entries and filings in the Debtors' Bankruptcy will be "Doc. __ in 19-60349."

[8] *See* Complaint, Doc. 1, at ¶ 136(D), 139(D).

[9] *Id.* at ¶ 175(D).

[10] *See Defendants' Motion to Dismiss the Adversary Complaint* (Doc. 5).

[11] *See* Minutes of Court re Defendants' Motion to Dismiss (Doc. 11), at 1.

[12] See Answer, Doc.12, at ¶ 3.

[13] *Id.* at 1.

[14] *See, e.g.*, Doc. 26 in 19-60349.

behalf of its clients.[14] The Notices did not identify any Bankruptcy Code provision or

Currently, the Bankruptcy Court has issued Notices in **53** cases filed by UpRight Law on Bankruptcy Rule that is alleged to have been violated by the Disclosures of Compensation of behalf of its clients.[15] In **45** of those cases, the Notices were issued within seven days after the Attorney for Debtor(s) (the "Disclosures"), nor did they indicate what relief, if any, might be bankruptcy petitions were filed.[16] In **three** cases, the Notices were issued *after* a discharge order imposed on UpRight Law or its attorneys based on the Disclosures. Moreover, the Notices did had been entered.[17] Importantly, none of the Notices identified any wrongdoing on the part of not allege that the amounts disclosed in the Disclosures were incorrect.

UpRight Law or its attorney. Despite the fact that, to date, *Reports of No Distribution* (the "Final

Currently, the Bankruptcy Court has issued Notices in 53 cases filed by UpRight Law on Reports") have been filed, and discharges have been entered, in **43** of these cases,[18] as the behalf of its clients.[15] In 45 of those cases, the Notices were issued within seven days after the Bankruptcy Court refuses to perform the ministerial act of closing them as required by § 350, and bankruptcy petitions were filed.[16] In three cases, the Notices were issued after a discharge order Rule 5009. Thus, the cases remain open to the detriment of the innocent debtors. The Bankruptcy had been entered.[17] Importantly, none of the Notices identified any wrongdoing on the part of Court continues to issue, in apparent reflexive fashion, new Notices in cases filed by UpRight Law, UpRight Law or its attorney. Despite the fact that, to date, Reports of No Distribution (the "Final often shortly after they are filed.

Reports") have been filed, and discharges have been entered, in 43 of these cases,[18] as the

In July 2020, UpRight Law and dozens of its clients, including the Debtors, filed *Motions* Bankruptcy Court refuses to perform the ministerial act of closing them as required by § 350, *to Close Case*,[19] all of which the Bankruptcy Court denied.[20] Soon thereafter, on September 30 and and Rule 5009. Thus, the cases remain open to the detriment of the innocent debtors. The October 1, 2020, UpRight Law and its clients filed motions to withdraw the reference (the "Initial Bankruptcy Court continues to issue, in apparent reflexive fashion, new Notices in cases filed by Motions to Withdraw") and notices of appeal of the orders in which the Bankruptcy Court denied UpRight Law, often shortly after they are filed.

the Motions to Close.[21]

In July 2020, UpRight Law and dozens of its clients, including the Debtors, filed Motions

On October 30, 2020, the Bankruptcy Court issued identical *Opinions*[22] (collectively, the to Close Case,[19] all of which the Bankruptcy Court denied.[20] Soon thereafter, on September 30 "Opinion") that reflected its rationale for denying the Motions to Close. In that Opinion, the and October 1, 2020, UpRight Law and its clients filed motions to withdraw the reference (the Bankruptcy Court acknowledged that each of the subject cases was capable of being closed "Initial Motions to Withdraw") and notices of appeal of the orders in which the Bankruptcy because the Chapter 7 Trustee had issued the Final Report without objection and a discharge had Court denied the Motions to Close.[21]

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[15] *See* Table attached as Exhibit A, which identifies the cases in which the Bankruptcy Court has issued notices.

[14] See, e.g., Doc. 26 in 19-60349.

[16] See Ex. A (9 notices issued within 1 day of filing; 13 notices issued within 2 days of filing; 10 notices issued within 3 days of filing; 4 notices issued within 4 days of filing; 3 notices issued within 5 days of filing; and 5 notices issued within 7 days of filing).

[17] See Exhibit A (104 days, 48 days, and 41 days after the discharge order was issued).

[18] See Exhibit A (in 36 of the cases, discharge orders were issued over 100 days ago).

[19] See, e.g., Docs. 57 and 58 in 19-60349.

[20] See, e.g., *Minutes of Court*, Doc. 77 in 19-60349.

[21] See, e.g., Docs. 82 and 84 in 19-60349. The Initial Motions to Withdraw and Notices of Appeal appeals have since been consolidated under lead case numbers 20-1176 and 20-1006, respectively.

[22] See, e.g., Doc. 94 in 20-30186, attached hereto as "Exhibit B."

On October 30, 2020, the Bankruptcy Court issued identical Opinions[22] (collectively, the been entered.[23] The Bankruptcy Court also acknowledged that generally, when such events occur, "Opinion") that reflected its rationale for denying the Motions to Close. In that Opinion, the bankruptcy courts close those cases.[24] The Bankruptcy Court nevertheless stated that it was not Bankruptcy Court acknowledged that each of the subject cases was capable of being closed required to close these cases because the UST was still in the process of conducting court-ordered because the Chapter 7 Trustee had issued the Final Report without objection and a discharge had investigations through Rule 2004 Examinations in each of the subject matters. Rather than been entered.[23] The Bankruptcy Court also acknowledged that generally, when such events occur, following the unambiguous mandates of § 350 and Rule 5009,[25] the Bankruptcy Court indicated bankruptcy courts close those cases.[24] The Bankruptcy Court nevertheless stated that it was not that "[t]he cases should remain open at least until the 2004 Examinations have taken place and the required to close these cases because the UST was still in the process of conducting court- U.S. Trustee has had an opportunity to evaluate the testimony and file additional [adversary ordered investigations through Rule 2004 Examinations in each of the subject matters. Rather complaints], if necessary."[26]
than following the unambiguous mandates of § 350 and Rule 5009,[25] the Bankruptcy Court

Of note, in the Opinion, the Bankruptcy Court purported to issue "Findings of Fact." These indicated that "[t]he cases should remain open at least until the 2004 Examinations have taken "Findings of Fact" appear to represent the Bankruptcy Court's views on the merits of these place and the U.S. Trustee has had an opportunity to evaluate the testimony and file additional bankruptcy cases, despite the fact that there were no contested matters before it, and no evidentiary [adversary complaints], if necessary."[26]
hearings were conducted in any of these bankruptcy cases. Now the UST has been using this

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Order in an attempt to foreclose Defendants from asserting defenses. (ECF No. 43 at p. 17)
These "Findings of Fact" appear to represent the Bankruptcy Court's views on the merits of these

Certain aspects of the Opinion are particularly notable. For instance, during multiple pre-bankruptcy cases, despite the fact that there were no contested matters before it, and no
Opinion proceedings related to its investigations, the Bankruptcy Court indicated that those evidentiary hearings were conducted in any of these bankruptcy cases. Now the UST has been investigations are not genuinely about the attorney fees charged in the subject cases.[27] But later, using this Order in an attempt to foreclose Defendants from asserting defenses. (ECF No. 43 at p. in an attempt to justify its refusal to close the bankruptcy cases so that its investigations could 17)

Certain aspects of the Opinion are particularly notable. For instance, during multiple pre-

Opinion proceedings related to its investigations, the Bankruptcy Court indicated that those

[23] *See Opinion*, Ex. B, at 37.
[24] *Id.* at 39.
[25] Section 350(a) provides: "After an estate is fully administered and the court has discharged the trustee, the court *shall* close the case." 11 U.S.C. § 350 (emphasis added). "[Rule 5009] is the same as §350(a) of the Code." Fed. R. Bankr. P. 5009, 1983 Advisory Comm. Note.
[26] *See* Opinion, Ex. B, at 39.
[27] During a January 28, 2020 hearing, the Bankruptcy Court stated, "*this has always been more than just an issue of the amount charged* . . ." *See* Transcript of Jan. 28, 2020 Hrg., attached hereto as "Exhibit C," at 7:6-7 (emphasis added). Then, during the course of hearings on April 28 and 29, 2020, which resulted in the Bankruptcy Court authorizing over **50** Rule 2004 Examinations of the Firm and its clients, the Bankruptcy Court stated, "And this is where, you know, Upright always wants to hone the case down into the amount of the fees, the amount of the fees. *That's not it. That's not where I'm having my problem*." See Transcript of Apr. 28, 2020 Hrg., attached as "Exhibit D," at 23:9-12 (emphasis added).

in an attempt to justify its refusal to close the bankruptcy cases so that its investigations could proceed, the Bankruptcy Court characterized the fees charged in these cases, which consisted of flat fees that ranged from $1,050 to $1,775, as "egregious."[28]

proceed, the Bankruptcy Court characterized the fees charged in these cases, which consisted of flat fees that ranged from $1,050 to $1,775, as "egregious."[28]

IV. Legal Standard

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Pursuant to § 157(a), "[e]ach district court may provide that any or all cases under title 11 and any or all proceedings arising under title 11 or arising in or related to a case under title 11 shall be referred to the bankruptcy judges for the district." *Id*. Thus, district courts may refer any or all proceedings arising under title 11 to the bankruptcy judges of their district, which the Southern District has done. *See Stern v. Marshall*, 564 U.S. 462, 473 (2011) (*citing* 28 U.S.C. § 157(a); S.D. Ill. Local Rule Br 1001.1. A district court also "may withdraw, in whole or in part, any case or proceeding referred to the bankruptcy court under [§ 157], on its own motion or on timely motion of any party, for cause shown." *See Stern*, 564 U.S. at 473; 28 U.S.C. §157(d).

Pursuant to § 157(a), "[e]ach district court may provide that any or all cases under title 11 and any or all proceedings arising under title 11 or arising in or related to a case under title 11 shall be referred to the bankruptcy judges for the district." Id. Thus, district courts may refer any or all proceedings arising under title 11 to the bankruptcy judges of their district, which the Southern District has done. See Stern v. Marshall, 564 U.S. 462, 473 (2011) (citing 28 U.S.C. § 157(a); S.D. Ill. Local Rule Br 1001.1. A district court also "may withdraw, in whole or in part, any case or proceeding referred to the bankruptcy court under [§ 157], on its own motion or on timely motion of any party, for cause shown." See Stern, 564 U.S. at 473; 28 U.S.C. §157(d).

The phrase "for cause shown" is not defined in § 157. *In re K & R Express Syst., Inc.*, 382 B.R. 443, 446 (N.D. Ill. 2007). In the Seventh Circuit, withdrawal of the reference is required when a litigant has a right to a jury trial, and does not consent to a jury trial in the bankruptcy court. *See Matter of Grabill Corp.*, 967 F.2d 1152, 1158 (7th Cir. 1992) (reversing denial of motion to withdraw the reference when party had a right to a jury trial); *Davidson v. Bristol-Myers Squibb Co.*, No. 10-CV-970-MJR, 2011 WL 13234404, at *2 (S.D. Ill. Sept. 30, 2011) (referral to bankruptcy court withdrawn where defendants had right to jury trial and "made clear that they [did] not consent to trial before the bankruptcy court"). District courts are also mandated to withdraw the reference upon timely motion "if the court determines that resolution of the proceeding requires consideration of both title 11 and other laws of the United States regulating organizations or activities affecting interstate commerce." 28 U.S.C. § 157(d); *see, e.g., Picard v. Avellino*, 469 B.R. 408, 414 (S.D.N.Y. 2012) (consideration of constitutional issues mandated withdrawal of reference).

The phrase "for cause shown" is not defined in § 157. In re K & R Express Syst., Inc., 382 B.R. 443, 446 (N.D. Ill. 2007). In the Seventh Circuit, withdrawal of the reference is required when a litigant has a right to a jury trial, and does not consent to a jury trial in the court. See Matter of Grabill Corp., 967 F.2d 1152, 1158 (7th Cir. 1992) (reversing denial of motion to withdraw the reference when party had a right to a jury trial); Davidson v. Bristol-Myers Squibb Co., No. 10-CV-970-MJR, 2011 WL 13234404, at *2 (S.D. Ill. Sept. 30, 2011) (referral to bankruptcy court withdrawn where defendants had right to jury trial and "made clear that they [did] not consent to trial before the bankruptcy court"). District courts are also mandated to withdraw the reference upon timely motion "if the court determines that resolution of the proceeding requires consideration of both title 11 and other laws of the United States regulating organizations or activities affecting interstate commerce." 28 U.S.C. § 157(d); see, e.g., Picard v. Avellino, 469 B.R. 408, 414 (S.D.N.Y. 2012) (consideration of constitutional issues mandated withdrawal of reference).

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the fees, the amount of the fees. That's not it. That's not where I'm having my problem." See Transcript of Apr. 28, 2020 Hrg., attached as "Exhibit D," at 23:9-12 (emphasis added).

[28] *See* Opinion, Ex. B, at 41.

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In re Orion Pictures Corp., 4 F.3d 1095, 1101 (2d Cir. 1993); In re K & R Express Syst., Inc., 382
Orion Pictures Corp., 4 F.3d 1095, 1101 (2d Cir. 1993); *In re K & R Express Syst., Inc.*, 382 B.R.
B.R. at 446) ("[T]he most important factor is whether a proceeding is core or non-core, as
at 446) ("[T]he most important factor is whether a proceeding is core or non-core, as efficiency,
efficiency, uniformity and judicial economy concerns are largely subsumed within it . . . ."), "or
uniformity and judicial economy concerns are largely subsumed within it . . . ."), "or in any other
in any other case containing sensitivities such that a determination by an Article III judge is
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required to insure the appearance and the reality of independence and impartiality in the
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decision," In re Texaco Inc., 84 B.R. 911, 925 (S.D.N.Y. 1988) (quoting Pacemaker Diag. Clinic
84 B.R. 911, 925 (S.D.N.Y. 1988) (quoting *Pacemaker Diag. Clinic of Am. v. Instromedix, Inc.*,
of Am. v. Instromedix, Inc., 725 F.2d 537 (9th Cir. 1984).
725 F.2d 537 (9th Cir. 1984).

V. Argument

A. This Court must withdraw the reference because Defendants are entitled to a jury trial on the UST's § 526 claims, which must be conducted in an Article III court.

1. Defendants have a constitutional right to a jury trial on the UST's § 526 claims.

The Seventh Amendment to the U.S. Constitution provides that "[i]n suits at common
law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be
preserved." Thus, written into this nation's basic charter is the notion that trial by jury is:

> the normal and preferable mode of disposing of issues of fact in civil cases at law as well as in criminal cases. Maintenance of the jury as a fact-finding body is of such importance and occupies so firm a place in our history and jurisprudence that any seeming curtailment of the right to a jury trial should be scrutinized with the utmost care.

Dimick v. Schiedt, 293 U.S. 474, 485, 55 S. Ct. 296, 301 (1935) (emphases added), quoted with approval in *Beacon Theatres, Inc. v. Westover*, 359 U.S. 500, 501, 79 S. Ct. 948, 952 (1959). Thus, any effort to limit a litigant's jury trial rights must be carefully examined before it will be allowed.

The basic decisional unit in determining the existence of a right to jury trial is not the case but the particular issue within a case on which a trial by jury is demanded. *Ross v. Bernhard*, 396

Bernhard, 396 U.S. 531, 538 (1970) ("The Seventh Amendment question depends on the nature U.S. 531, 538 (1970) ("The Seventh Amendment question depends on the nature of the issue to be of the issue to be tried rather than the character of the overall action.") The Supreme Court tried rather than the character of the overall action.") The Supreme Court interprets "suits at interprets "suits at common law" to mean cases involving legal rights, as distinguished from common law" to mean cases involving legal rights, as distinguished from equitable claims. equitable claims. Granfinanciera, S.A. v. Nordberg, 492 U.S. 33, 41 (1989). In determining *Granfinanciera, S.A. v. Nordberg*, 492 U.S. 33, 41 (1989). In determining whether a party has whether a party has legal claim, and thus a jury trial right, in the context of a statutory claim, the legal claim, and thus a jury trial right, in the context of a statutory claim, the Supreme Court has Supreme Court has articulated the following test:
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> In determining whether a claim in a case presents an equitable or legal issue, [f]irst, we compare the statutory action to 18th-century actions brought in the courts of England prior to the merger of the courts of law and equity. Second, we examine the remedy sought and determine whether it is legal or equitable in nature. The second stage of this analysis is more important than the first. If, on balance, these two factors indicate that a party is entitled to a jury trial under the Seventh Amendment, we must decide whether Congress may assign and has assigned resolution of the relevant claim to a non-Article III adjudicative body that does not use a jury as factfinder. Id. (citations omitted).

Id. (citations omitted). The jury trial right thus turns on a two-part "compare actions" and "remedy sought" test. If these factors indicate that a party is entitled to a jury trial, it is also necessary to decide whether Congress may assign *and has assigned* resolution of the relevant claim to a non-Article III adjudicative body that does not use a jury as a factfinder. As illustrated below, application of the *Granfinanciera* test confirms that Defendants are entitled to a jury trial on the UST's § 526 claims.

2. The UST's claims for civil penalties under § 526 entitled Defendants to a jury trial.

Claims brought by the Federal Government that purport to seek civil penalties have long been held to be analogous to actions in debt that fell within jurisdiction of the English courts of law. See, e.g., Tull v. United States, 481 U.S. 412, 418 (1987) (compiling cases). Accordingly, where the Government seeks to recover civil penalties under a statutory provision, it historically has been viewed as an action in debt requiring trial by jury. Id. at 418-19

For example, in Tull, a case in which the Federal Government sought civil penalties against the Petitioner for statutory violations of the Clean Water Act, 33 U.S.C. §§ 1251, et seq., the Supreme Court held that the Petitioner was entitled to a jury trial. Id. at 425. In so holding,

the Supreme Court considered — and rejected — the Government's argument that its claims
Supreme Court held that the Petitioner was entitled to a jury trial. *Id*. at 425. In so holding, the
brought under the Clean Water Act were more analogous to an action to abate a nuisance than
Supreme Court considered — and rejected — the Government's argument that its claims brought
one to collect a debt. See id. at 420. The Court also rejected the notion that it needed to rest its
under the Clean Water Act were more analogous to an action to abate a nuisance than one to collect
conclusion on an "abstruse historical" search for the nearest 18th century analogy. Id. at 421
a debt. *See id*. at 420. The Court also rejected the notion that it needed to rest its conclusion on
(citing Ross v. Bernhard, 396 U.S. 531, 538 n. 10 (1970)). Rather, the Court emphasized that
an "abstruse historical" search for the nearest 18th century analogy. *Id*. at 421 (citing *Ross v.*
"characterizing the relief sought is 'more important' than finding a precisely analogous common-
Bernhard, 396 U.S. 531, 538 n. 10 (1970)). Rather, the Court emphasized that "characterizing the
law cause of action in determining whether the Seventh Amendment guarantees a jury trial." Id.
relief sought is 'more important' than finding a precisely analogous common-law cause of action
(citing Curtis v. Loether, 415 U.S. 189, 196 (1974)).
in determining whether the Seventh Amendment guarantees a jury trial." *Id*. (citing *Curtis v.*

Applied to the instant context, the reasoning of Tull confirms that Defendants are entitled
Loether, 415 U.S. 189, 196 (1974)).
to a jury trial. As in Tull, the Federal Government in this case purports to seek a civil penalty

Applied to the instant context, the reasoning of *Tull* confirms that Defendants are entitled
pursuant to a federal statute, i.e., § 526(c)(5). Moreover, the instant case presents an even more
to a jury trial. As in *Tull*, the Federal Government in this case purports to seek a civil penalty
compelling case for application of the Seventh Amendment than Tull did, given that the UST's
pursuant to a federal statute, *i.e.*, § 526(c)(5). Moreover, the instant case presents an even more
§526 claims are also analogous to traditional common law claims for dishonesty, fraud,
compelling case for application of the Seventh Amendment than *Tull* did, given that the UST's
misrepresentation or professional negligence.[29] These types of claims constituted actions in law
§526 claims are also analogous to traditional common law claims for dishonesty, fraud,
as to which a right to jury trial also attached. Wright & Miller, Federal Prac. & Proc., § 2311,
misrepresentation or professional negligence.[29] These types of claims constituted actions in law
(citing, e.g., Curriden v. Middleton, 232 U.S. 633 (1914), and Dellefield v. Blockdel Realty Co.,
as to which a right to jury trial also attached. *Wright & Miller, Federal Prac. & Proc*., § 2311,
1 F.R.D. 689 (S.D.N.Y. 1941) (where plaintiff sought both money damages and rescission for
(*citing, e.g., Curriden v. Middleton*, 232 U.S. 633 (1914), and *Dellefield v. Blockdel Realty Co*.,
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attorney historically an action at law); see also Granfinanciera, 492 U.S. at 41 (fraudulent
No. 391 v. Terry, 494 U.S. 558, 568 (1990) (malpractice action for monetary relief against attorney
conveyance under § 548 an action at law).

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[29] Specifically, the UST seeks relief for violations of: (i) § 526(a)(1), which prohibits a debt relief agency from "fail[ing] to perform any service that such agency informed an assisted person . . . it would provide in connection with a case or proceeding under this title" and (iii) § 526(a)(3), which prohibits debt relief agencies from "misrepresenting to any assisted person . . . directly or indirectly, affirmatively or by material omission, with respect to . . . (A) the services that such agency will provide to such person[,] or (B)the benefits and risks that may result if such person becomes a debtor in a case under this title[.]" See Complaint, Doc. 1, Counts I and II.

Specifically, the UST seeks relief for violations of: (i) § 526(a)(1), which prohibits a debt relief agency from "fail[ing] to perform any service that such agency informed an assisted person . . . it would provide in connection with a case or proceeding under this title" and (iii) § 526(a)(3), which prohibits debt relief agencies from "misrepresenting to any assisted person . . . directly or indirectly, affirmatively or by material omission, with respect to . . . (A) the services that such agency will provide to such person[,] or (B)the benefits and risks that may result if such person becomes a debtor in a case under this title[.]" See Complaint, Doc. 1, Counts I and II.

3. The civil penalty sought by the UST is legal in nature.

historically an action at law); *see also Granfinanciera*, 492 U.S. at 41 (fraudulent conveyance

As noted above, the second prong of the Granfinanciera test — the nature of the remedy

under § 548 an action at law).

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jury trial under the Seventh Amendment.

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Tull, 481 U.S. at 424-25. A litigant is not deprived of a jury trial merely because the Government

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369 U.S. 469 (1962)); see also Tull, 481 U.S. at 424-25 (Government could have sought

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injunctive relief independent of, or in addition to, a civil penalty, and thus, the legal relief was

(citing *Beacon Theatres, Inc. v. Westover*, 359 U.S. 500, (1959); and *Dairy Queen, Inc. v. Wood*,

not incidental to, or intertwined, with the equitable relief such that a jury trial would be denied).

369 U.S. 469 (1962)); *see also Tull*, 481 U.S. at 424-25 (Government could have sought injunctive

Defendants are plainly entitled to a jury trial on the UST's § 526 claims.

relief independent of, or in addition to, a civil penalty, and thus, the legal relief was not incidental

[Transcription note: the filed memorandum continues from Argument V.A.4 (page 10)

to, or intertwined, with the equitable relief such that a jury trial would be denied). Defendants are

through the end of Part V.C (page 19). That text is omitted here for length. The Conclusion and

plainly entitled to a jury trial on the UST's § 526 claims.

signature follow from pages 19 and 20 of the filing.]

V. Conclusion.

4. Congress has not assigned (and cannot assign) resolution of § 526 claims to a non-Article III adjudicative body that does not use a jury as factfinder.

For the foregoing reasons, Defendants respectfully ask that this Court grant an order

To the extent that the UST may argue that Defendants are not entitled to a jury right on the

withdrawing the reference in this adversary proceeding that is effective immediately.

theory that Congress has *assigned* § 526 claims for adjudication to the Bankruptcy Court, such a

Alternatively, if the Court denies this motion, Defendants ask the Court to certify the Seventh

contention is untrue. Such an argument, which presumably would be based on the limited "public

Amendment right to a jury trial issue and the Fifth Amendment due process issue for

rights" exception, simply does not apply in this case.

interlocutory appeal to the United States Court of Appeals for the Seventh Circuit.

a. The "public rights" exception does not insulate §526 claims from the right to a jury trial.

Dated: April 12, 2021

Respectfully submitted,

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